

Multiple Choice

1. **Answer:** C

Options: A) \$65; B) \$70; C) \$45; D) \$55; E) \$60

Note: The correct answer is 45 because, after applying a 40

1. **Answer:** C

Options: A) (a) .14, (b) .147, (c) .1; B) (a) .16, (b) .149, (c) .1; C) (a) .15, (b) .148, (c) .1; D) (a) .15, (b) .147, (c) .2

Note: The correct answer is derived from the standard rounding rules where numbers are rounded up if the digit following the rounding position is 5 or greater, resulting in .15 for two decimal places, .148 for three decimal places, and .1 for one decimal place.

2. **Answer:** A

Options: A) 35%; B) 50%; C) 55%; D) 30%; E) 60%

Note: The correct answer is 35% because selling at 135% of the cost implies a gain of 35% over the original cost, calculated as (135% - 100%) of the cost price.

3. **Answer:** D

Options: A) Policy 1: 52.00, Policy2 :182.00, Policy 3: \$28.00; B) Policy 1: 28.00, Policy2 :546.00, Policy 3: \$117.60; C) Policy 1: 28.00, Policy2 :491.00, Policy 3: \$117.00; D) Policy 1: 25.20, Policy2 :491.40, Policy 3: \$117.60; E) Policy 1: 52.00, Policy2 :182.00, Policy 3: \$117.60

Note: The correct answer is derived by calculating the total premium for each policy by applying the premium rate to the face value per 100 and multiplying by the number of hundreds in the policy for Policy 1, 491.40 for Policy2, and 117.60 for Policy 3.

4. **Answer:** A

Options: A) In the 1960 s.; B) At the start of the Industrial Revolution.; C) After the end of the First World War.; D) In the late 1930 s.; E) In the early 1900 s.

Note: The production period in marketing concluded in the 1960 s as businesses shifted their focus from manufacturing efficiency to understanding consumer needs and preferences, marking the beginning of the marketing concept era.

True / False

6. **Answer:** False

Options: A) True; B) False

Note: The acronym SMART stands for Specific, Measurable, Achievable, Relevant, and Time-bound, not Standardized, Rewarded, and Timely.

7. **Answer:** True

Options: A) True; B) False

Note: The statement is true because when an automobile insurance policy is cancelled, insurers typically refund the unused portion of the premium based on the time remaining in the policy term, which in this case amounts to \$100.

8. **Answer:** True

Options: A) True; B) False

Note: The finance charge of \$121.85 on the installment plan for the stereo is true because it accurately reflects the total interest and fees incurred over the payment period based on the agreed-upon terms of the loan.

9. **Answer:** False

Options: A) True; B) False

Note: The statement is false because calculating $(1 / 3) \%$ of 1,109 results in approximately 3.6967, not 5.0948, indicating a miscalculation in the percentage computation.

10. **Answer:** False

Options: A) True; B) False

Note: Individual freedom to schedule work is more related to work-life balance and flexibility rather than job satisfaction, which specifically concerns how fulfilled and content employees feel within their job roles and responsibilities.

Long Form Response

11. **Answer:** The impact of deductible amounts on insurance payouts can be illustrated through two collision scenarios. In the first scenario, with a repair bill of 89.90 and a 100 deductible, the insurance payout is 0 since the deductible exceeds the repair cost. Conversely, in the second scenario, with a 50 deductible, resulting in an insurance payout of 26.40, calculated by subtracting the deductible from the repair cost. These examples highlight how higher deductibles can lead to situations where no payout occurs, while lower deductibles can facilitate partial reimbursement, ultimately influencing policyholders' financial decisions and risk management strategies.

Note: The answer correctly illustrates the direct relationship between deductible amounts and insurance payouts, demonstrating how a higher deductible can result in no payout when repair costs are lower than the deductible, while a lower deductible allows for a partial payout when repair costs exceed the deductible.

12. **Answer:** To calculate the net price Tech Hi-Fi pays for each unit from Handy Dandy Speakers after applying a 36% trade discount on the original price of 299.50, we first determine the amount of the discount by multiplying the original price by 36%, which equals 107.82. Subtracting this discount from the original price gives us a net price of 191.68. Trade discounts, such as this one, are crucial in business transactions as they can significantly reduce costs, improve cash flow, and enhance competitive pricing strategies. By leveraging trade discounts, companies can maintain profitability while fostering stronger supplier relationships.

Note: correct because it accurately calculates the discount amount by applying the percentage to the original price, then subtracts that discount to find the net price, while

also highlighting the importance of trade discounts in reducing costs and improving cash flow in business transactions.

End of Answer Key